

RESOLUTION NO. _____**ENTITLED: “A RESOLUTION ADOPTING A CITY OF CHEYENNE HEALTHCARE PLAN, A CITY OF CHEYENNE HEALTH BENEFIT TRUST, AND APPOINTING FIDUCIARIES FOR THE PLAN AND TRUST”**

WHEREAS, the Governing Body of the City of Cheyenne wishes to create a self-insured employee welfare benefit plan to be named the City of Cheyenne Healthcare Plan (“the Plan”) to provide medical, dental, vision, and prescription drug benefits (“Plan Benefits”) for eligible employees of the City of Cheyenne (“the Employer”) and eligible dependents of the eligible employees;

WHEREAS, the Governing Body of the City of Cheyenne wishes to adopt a City of Cheyenne Health Benefit Trust (“the Trust”) to constitute a trust fund to hold employer, employee, and other contributions to be used to provide Plan Benefits; and

WHEREAS, the Governing Body of the City of Cheyenne wishes to appoint fiduciaries for the Plan and the Trust, including Trustees, the Plan Sponsor, and the Plan Administrator.

NOW, THEREFORE, BE IT RESOLVED BY THE GOVERNING BODY OF THE CITY OF CHEYENNE, WYOMING, that:

The City of Cheyenne does hereby adopt the Trust Agreement for the City of Cheyenne Health Benefit Trust in the form presented to the Governing Body, a copy of which is attached hereto, for the purpose of establishing a trust for the provision of employee welfare benefits pursuant to the City of Cheyenne Healthcare Plan;

The Trustees of the Trust shall be the City Treasurer, the City Attorney, and the City Council President and Robin Lockman, currently serving as City Treasurer, Stefanie Boster, currently serving as City Attorney, and Scott Roybal, currently serving as City Council President, are appointed to serve as the initial trustees under the Trust;

The Employee Benefits Committee of the City of Cheyenne is appointed to discharge the responsibilities of the Plan Sponsor for the City of Cheyenne Healthcare Plan;

The Human Resources Director of the City of Cheyenne, Darrin Hass, is appointed as the Plan Administrator for the City of Cheyenne Healthcare Plan and he may delegate some of his responsibilities to the City’s Human Resources Benefit Specialist, and to Third Party Administrators hired to administer the Plan;

The City Mayor and the Trustees are hereby authorized to execute and deliver, in the name and on behalf of the City of Cheyenne, the Trust Agreement for the City of Cheyenne Health Benefit Trust; and

The City Mayor and the Plan Administrator are hereby authorized to execute contracts with Third Party Administrators for the City of Cheyenne Healthcare Plan and all such other

instruments and documents, and to do and perform all such acts as shall be necessary and proper to establish and administer the Plan and otherwise effect the purposes and intentions set forth in the foregoing resolutions.

PRESENTED, READ AND ADOPTED this _____ day of _____, 2022.

Patrick J. Collins, Mayor

(SEAL)
Attest:

Kristina F. Jones, City Clerk

CITY OF CHEYENNE HEALTH BENEFIT TRUST AGREEMENT

THIS TRUST AGREEMENT is made and entered into as of _____, 2022, by and between the City of Cheyenne, Wyoming (the “Employer”) and the persons signing this Agreement as Trustees (the “Trustees”). The name of this Trust is the **City of Cheyenne Health Benefit Trust**.

WHEREAS, the Employer has established and adopted an employee welfare benefit plan known as the City of Cheyenne Healthcare Plan (the “Plan”) the purpose of which is to provide medical, dental, vision, and prescription drug benefits (“Plan Benefits”) for the Employer’s eligible employees and their eligible dependents;

WHEREAS, the Employer has appointed a Plan Administrator to administer the Plan and will hire Third Party Administrators to provide administrative services and claims processing for Plan Benefits offered by the Plan;

WHEREAS, the funds that will be contributed to this Trust, as and when received by the Trustees, will constitute a trust fund (the “Trust Fund”) to be held for the benefit of Employer’s participating eligible employees and their participating eligible dependents under and in accordance with the Plan;

WHEREAS, the Employer intends that this Trust shall be governed by the Wyoming Uniform Trust Code, Wyo. Stat. §§ 4-10-101 *et seq.*, shall be tax-exempt pursuant to 26 U.S.C. § 115, and, when taken together with the Plan, shall constitute a “welfare benefit fund” pursuant to 26 U.S.C. § 419(e)(1);

WHEREAS, the Employer desires the Trustees to hold and administer the Trust Fund, and the Trustees are willing to hold and administer such Trust Fund, pursuant to the terms of this Trust Agreement.

NOW, THEREFORE, in consideration of the mutual covenants contained herein, the Employer and the Trustees agree as follows:

ARTICLE I – DEFINED TERMS

The terms used in this Trust Agreement are the same as used in the Plan Document and Summary Plan Description for the City of Cheyenne Healthcare Plan, unless otherwise stated. A Plan Participant is an Employer’s eligible employee or an employee's eligible dependent who is covered under the Plan.

ARTICLE II – CONTRIBUTIONS

Receipt of Contributions. The Trustees shall receive the contributions paid to them by the Employer or a Plan Participant. The amount of such contributions shall be determined by the Employer. Such contributions may include required monthly contributions as determined by the Employer from time to time to fund the Plan Benefits offered by the Employer and elected by Plan Participants and the payment of Plan expenses. Contributions also include stop loss insurance reimbursements and drug prescription rebates received by the Trustees. Contributions may also include any additional contributions or assessments determined necessary by the Employer or Trustees to remedy any shortage in the Trust Fund to pay Plan Benefits and Plan expenses or to fund a trust reserve for payment of future Plan Benefits and Plan expenses. All contributions received, together with the income therefrom shall be held, invested, and applied by the Trustees for the payment of Plan Benefits and Plan expenses pursuant to the terms of this Trust Agreement without distinction between principal and income. The Trustees shall not be responsible for the collection of any contribution under the Plan, but shall be responsible only for property received by them pursuant to this Trust Agreement.

ARTICLE III – PAYMENTS FROM TRUST FUND

3.1 Payments Directed by Plan Administrator. The Trustees shall from time to time, at the request of the Plan Administrator, or a Third Party Administrator delegated the responsibility to pay claims for Participants' Plan Benefits, make payments out of the Trust Fund for Plan administration expenses and to persons or entities to whom such monies are to be paid for Participants' Plan Benefits. The payments shall be in such amounts as may be specified by the Plan Administrator or the delegated Third Party Administrator. To the extent permitted by law, the Trustees shall be under no liability for any payment made pursuant to the direction of the Plan Administrator or the delegated Third Party Administrator. A Third Party Administrator having the ability to make transfers or payments from the Trust Fund for Plan Benefits or Plan expenses shall be a Trust fiduciary and shall be properly bonded. Any payment direction of the Plan Administrator or the Third Party Administrator shall constitute a certification by the Plan Administrator or the Third Party Administrator that the distribution or payment so directed is one which the Plan Administrator or the Third Party Administrator is authorized to direct.

3.2 Claims for Plan Benefits. Claims for Plan Benefits shall be paid from the Trust Fund. Claims shall be submitted as provided in the Plan Document and Summary Plan Description. Any Plan Participant whose claim for Plan Benefits has been denied, in whole or in part, by the Plan Administrator or Third Party Administrator may request a review of the adverse benefit determination under the procedures provided in the Plan Document and Summary Plan Description.

3.3 Impossibility of Diversion. It shall be prohibited at any time for any part of the Trust Fund to be used for, or diverted to, purposes other than to provide Plan Benefits authorized under the Plan for the exclusive benefit of Plan Participants and for the payment of any taxes and administration expenses for which the Trust is liable as provided in this Trust Agreement.

3.4 Payments for Policies. The Plan may provide for policies of insurance to be obtained with payments from the Trust Fund to provide Plan Benefits. The Plan provides for an insurance policy to insure the Plan and the Trust against losses from excessive claims (“stop loss insurance”). The Trustees shall coordinate with the Plan Administrator to ensure adequate stop loss insurance coverage is obtained for the Plan and the Trust. Stop loss insurance shall be owned by and held for the benefit of the Trust Fund. The Trustees may pay premiums for stop loss insurance policies and Plan Benefit insurance policies from the Trust Fund as authorized Trust expenses.

3.5 Administrative Expenses. The Employer or Plan Administrator may need to hire: third party administrators, consultants, legal counsel, accountants, auditors, and administrative support services to provide administrative claims payment services and to assist the Plan Administrator in making the Plan available to the Employer’s eligible employees and their dependents; maintaining Plan records; enrolling eligible employees and dependents; and performing other Plan administration duties. The Trustees may pay the charges for such administrative support services at the direction of the Plan Administrator and may rely upon the Plan Administrator’s determination that such services are reasonable Plan administration expenses.

ARTICLE IV – INVESTMENTS

4.1 General. The Trustees shall invest and reinvest the principal and income of the Trust Fund and keep the Trust Fund invested, without distinction between principal and income, in such securities or in such property, real or personal, tangible or intangible, as the Trustees shall deem advisable, as outlined in the City of Cheyenne, Wyoming Investment Policy Statement.

4.2 Establishment of Funding Policy. The Trustees and Plan Administrator shall establish and carry out a funding policy consistent with the purposes of the Plan and the requirements of applicable law. As part of such funding policy, the Plan Administrator shall from time to time direct the Trustees to exercise their investment discretion so as to provide sufficient cash assets in an amount determined by the Plan Administrator, under the funding policy then in effect, to be necessary to meet the liquidity requirements for the payment of Plan Benefits and Plan Expenses. The Trustees shall be excluded fiduciaries under the Wyoming Uniform Trust Code with respect to any investment made pursuant to the direction of the Plan Administrator.

4.3 Trustees’ Adherence to Funding Policy. The Trustees’ discretion in investing and reinvesting the principal and income of the Trust Fund shall be subject to the funding policy, and any changes to the policy that the Plan Administrator and Trustees may adopt, pursuant to Plan needs, from time to time. The Trustees shall have the duty to act strictly in accordance with such funding policy, and any changes therein, as agreed to by the Trustees and Plan Administrator.

ARTICLE V – POWERS OF TRUSTEES

5.1 Powers. The Trustees, in addition to all powers and authorities under the Wyoming

Uniform Trust Code and provisions of this Trust Agreement, shall have the following powers and authorities, to be exercised in the Trustees' sole discretion:

- (a) To borrow or raise money for the purposes of the Trust in such amount, and upon such terms and conditions, as the Trustees shall deem advisable; and for any sum so borrowed, to issue a promissory note as Trustees, and to secure the repayment thereof by pledging all, or any part, of the Trust Fund; and no person lending money to the Trustees shall be bound to see to the application of the money lent or to inquire into the validity, expediency, or propriety of any borrowing;
- (b) To keep such portion of the Trust Fund in cash or cash balances as the Trustees may, from time to time, deem to be in the best interests of the trust created hereby, without liability for interest thereon;
- (c) To accept and retain for such time as they may deem advisable any securities or other property received or acquired as Trustees hereunder, whether or not such securities or other property would normally be purchased as investments hereunder;
- (d) To make, execute, acknowledge, and deliver any and all documents of transfer and conveyance and any and all other instruments that may be necessary or appropriate to carry out the powers herein granted;
- (e) To settle, compromise, or submit to arbitration any claims, debts, or damages to or owing to or from the Trust Fund, to commence or defend suits or legal or administrative proceedings, and to represent the Trust Fund in all suits and legal and administrative proceedings;
- (f) To employ suitable agents and counsel and to pay their reasonable expenses and compensation, such agents or counsel may or may not be agents or counsel for the Employer;
- (g) To invest in Treasury Bills and other forms of United States government obligations as allowed under the City of Cheyenne's Investment Policy Statement;
- (h) To deposit monies in federally insured savings accounts or certificates of deposit in banks or savings and loan associations as allowed under the City of Cheyenne's Investment Policy Statement;
- (i) To request Employer pay to the Trust additional contributions or assessments when such are found necessary by the Trustees to remedy any shortage in the Trust Fund to pay Plan Benefits and Plan expenses or to fund a trust reserve for payment of future Plan Benefits and Plan expenses;
- (j) To do all such acts, take all such proceedings, and exercise all such rights and privileges, although not specifically mentioned herein, as the Trustees may deem necessary to administer the Trust Fund, and to carry out the purposes of this Trust.

5.2 Taxes and Expenses. An individual serving as Trustee who already receives full-time pay from the Employer shall not receive compensation from this Trust except for reimbursement of expenses properly and actually incurred. The Trustees shall be reimbursed for any reasonable expenses, including reasonable counsel and accounting fees, incurred by the Trustees in the administration of the Trust Fund. Such expenses shall be paid from the Trust Fund. All taxes of any kind and all kinds whatsoever that may be levied or assessed under existing or future laws upon, or in respect of, the Trust Fund or the income thereof shall be paid by the Trustees from the Trust Fund.

5.3 Prohibited Transactions. The Trustees, Employer, Plan Administrator, and any Plan Participants may not, directly or indirectly, accept any compensation, gifts, commissions, or emoluments whatsoever (collectively, "compensation") in connection with or on account of any transaction between the Trustees and any third party administrator providing services to the Plan or an issuer of a Policy or Policies obtained with payments from the Trust Fund to provide Plan Benefits or to insure the Plan.

ARTICLE VI – TRUSTEES' DUTIES AND ACTIONS

6.1 General. The Trustees shall, consistent with the Trust funding policy, invest, manage, and control the Trust Fund. The Trustees shall discharge their duties under this Trust Agreement solely in the interest of the Plan Participants and for the exclusive purpose of providing Plan Benefits to the Plan Participants and defraying reasonable expenses of administering the Trust. The Trustees shall discharge their duties with the care, skill, prudence and diligence under the circumstances then prevailing that a prudent man acting in a like capacity and familiar with such matters would use in the conduct of an enterprise of a like character and with like aims. The Trustees shall diversify the investments of the Trust so as to minimize the risk of large losses, unless under the circumstances it is clearly prudent not to do so. The Trustees' duties shall be performed in accordance with the provisions of this Trust Agreement insofar as they are consistent with the Wyoming Uniform Trust Code, as this Trust Agreement and the Trust Code may be from time to time amended.

6.2 Actions of Trustees. An action of the Trustees shall be by a majority of their number. The Trustees may delegate authority for one or more of them to sign documents, instruments, including borrowing instruments, and checks or other payment authorizations on the Trust's behalf.

6.3 Consultation and Indemnification. The Trustees may consult with counsel and the Trustees shall not be deemed imprudent by reason of taking or refraining from taking any action in accordance with the opinion of counsel. The Employer agrees, to the extent permitted by law, to indemnify and hold the Trustees harmless from and against any liability that the Trustees may incur in the administration of the Trust Fund, unless arising from the Trustees' willful breach of the provisions of this Trust Agreement. The Employer may require the Trustees to obtain a fidelity bond or fiduciary liability insurance that would cover Trustees of a welfare benefit fund held in trust, and the Trustees may pay for the same out the Trust Fund.

6.4 Accounts, Records, and Reporting. The Trustees shall keep accurate and detailed accounts of all investments, receipts, disbursements, and other transactions hereunder, and all such accounts and other records relating thereto shall be open to inspection and audit at all reasonable times by any person designated by the Plan Administrator or the Employer. The Trustees shall furnish to the Plan Administrator a written statement of account within 60 days after the end of the Trust's fiscal year. The written statement of account shall set forth all receipts and disbursements, additions, deductions, assets, liabilities, and net assets of the Trust Fund in accordance with applicable accounting standards. The Plan Administrator shall acknowledge receipt of the written statement of account and advise the Trustees of his or her approval or disapproval of the statement of account. Failure by the Plan Administrator to disapprove any such statement of account within 30 days after its receipt shall be deemed approval of the account. To the extent permitted by applicable law, the approval or deemed approval by the Plan Administrator of the statement of account shall serve to release and discharge the Trustees from any liability or accountability to the Employer as respects the propriety of the Trustees' acts or transactions shown in the statement of account. To the extent any reports to the Internal Revenue Service, United States Department of Labor, or other agency concerning the Trust Fund are required by applicable law, the Trustees shall provide the Plan Administrator with the information required to complete the reports.

6.5 Record Retention. The Trustees shall retain records relating to the Trust Fund for as long as necessary for the proper administration thereof and at least for any period required by applicable law.

6.6 Limitation on Trustees' Liability. The Plan Administrator and any delegated Third Party Administrator shall administer the Plan as provided in the Plan Document and Summary Plan Description and this Trust, and the Trustees shall not be responsible in any respect for administering the Plan nor shall the Trustees be responsible for the adequacy of contributions to the Trust Fund to meet or discharge any payments for Plan Benefits, Plan expenses, Plan reserves, or for any other Plan liabilities. The Trustees shall be entitled conclusively to rely upon any notice, instruction, direction or other communication of the Plan Administrator.

ARTICLE VII – RESIGNATION, REMOVAL AND REPLACEMENT OF TRUSTEES

7.1 Appointment of Trustees. This Trust shall be administered by Trustees appointed by the Employer. The initial Trustees appointed by Employer are the Trustees signing this Trust Agreement.

7.2 Resignation. A Trustee may resign at any time by giving 30 days' notice in writing to the Employer and Plan Administrator.

7.3 Removal. The Employer may remove a Trustee at any time upon 30 days' notice in writing to the Trustee.

7.4 Successor Trustees. Upon the resignation or removal of a Trustee, the Employer shall appoint a successor trustee who shall have the same powers and duties as those conferred upon

the Trustees in this Trust Agreement. If all Trustees were to resign or be removed, upon acceptance of appointment by successor trustees, the Trustees shall assign, transfer, and pay over to the successor trustees the funds and properties then constituting the Trust Fund. Resigning or removed Trustees are authorized, however, to reserve such reasonable sum of money, as it may deem advisable, for payment of fees and expenses in connection with the settlement of their accounts or otherwise, and any balance of such reserve remaining after the payment of such fees and expenses shall be paid over to the successor trustees. Any successor trustees must sign this Trust Agreement or another document agreeing to be bound by this Trust Agreement.

7.5 Report by Trustees. Within 60 days after the resignation or removal of all the Trustees, the Trustees shall furnish to the Employer a written statement of account with respect to the portion of the year for which the Trustees served. The Employer shall acknowledge receipt of the statement in writing and advise the Trustees of the approval or disapproval of the statement. Failure by the Employer to disapprove any such statement of account within 30 days after its receipt shall be deemed approval of the statement. The approval by the Employer of the statement of account shall serve to release and discharge the resigning or removed Trustees from any liability or accountability to the Employer as respects the propriety of the Trustees' acts or transactions shown in the statement of account.

7.6 Waiver of Notice. In the event of any resignation or removal of a Trustee, the Trustee and the Employer may in writing waive any notice of resignation or removal as may be provided in this Trust Agreement.

ARTICLE VIII – AMENDMENT AND TERMINATION OF TRUST AGREEMENT

8.1 Amendment. Any or all of the provisions of this Trust Agreement may be amended at any time and from time to time, in whole or in part, by the Employer and the Trustees by an instrument in writing. No such amendment shall authorize or permit any part of the Trust Fund (other than such part as is required to pay taxes and administration expenses) to be used for or diverted to purposes other than for the exclusive benefit of Plan Participants; and no such amendment shall cause or permit any portion of the Trust Fund to revert to or become the property of the Employer.

8.2 Termination. This Trust Agreement may be terminated at any time by the Employer, and upon such termination, or upon the dissolution or liquidation of the Employer, the Trust Fund shall be paid out by the Trustees as and when directed by the Plan Administrator or the Employer, in accordance with the provisions of Article III of this Trust Agreement and the terms of the Plan. In no event, may any amount of the Trust Fund be returned to the Employer except to be used to provide for a health insurance plan providing benefits for Employer's employees and the employee's dependents that are similar to the Plan Benefits funded under this Trust Agreement.

ARTICLE IX – GENERAL

9.1 Source of Funds. This Trust shall constitute the sole source of funds which may be used to

pay Plan Benefits, and the Employer shall not be liable in any way or in any manner for any such Plan Benefits or payments beyond those monies which are to be contributed to this Trust as provided under Article II of this Trust Agreement.

9.2 Limited Effect of Plan and Trust. Neither the establishment of the Plan nor the Trust nor any modification thereof, nor the creation of any fund or account, nor the payment of any Plan Benefits, shall be construed as giving to any Plan Participant or other person any legal or equitable right against the Trustees, the Employer, or any officer or employee thereof, except as may otherwise be provided in the Plan or in this Trust Agreement. Under no circumstances shall the term of employment of any of the Employer's employees be modified or in any way affected by the Plan or this Trust Agreement.

9.3 Nonalienation of Benefits. Neither the Employer, Trustees, any Plan Participant, nor any other person shall have any rights, title, or interest in the Trust Fund other than as specifically provided in the Plan and this Trust Agreement. No Plan Participant shall have the option to receive any part of the contributions to the Trust Fund in lieu of Plan Benefits. Neither the Trust Fund nor any contribution to it shall in any manner be liable for or subject to the debts, contracts, or liabilities of the Employer, Trustees, Plan Administrator, Third Party Administrator, or any Plan Participant. No part of the Trust Fund nor any benefit payable in accordance with the Plan shall be subject in any manner to anticipation, alienation, sale, transfer, assignment, pledge, encumbrance, or charge; provided, however, that these restrictions shall not prohibit the Plan Administrator from establishing a procedure whereby a Plan Participant may direct the Plan Benefits due him or her to be paid to the doctor, hospital, or other person or institution from which he or she received medical, hospital, or other services for which Plan Benefits are due.

9.4 Protective Clause. Neither the Employer nor the Trustees shall be responsible for the validity of any contract of insurance issued in connection with the Plan or Trust or for the failure on the part of the insurer to make payments provided by such contract, or for the action of any person which may delay payment or render a contract null and void or unenforceable in whole or in part.

9.5 Compliance with Laws. The Plan, this Trust Agreement and the Trust Fund are intended to meet the requirements for a welfare benefit fund with welfare benefit fund assets held in a trust.

9.6 Construction of Trust Agreement. This Trust Agreement shall be construed and enforced according to the laws of Wyoming. If any provision of this Trust Agreement shall be held illegal or invalid for any reason, such determination shall not affect the remaining provisions of the Trust Agreement.

9.7 Gender and Number. Wherever any words are used herein in the masculine, feminine or neuter, they shall be construed as though they were also used in another gender in all cases where they would so apply, and whenever any words are used herein in the singular or plural form, they shall be construed as though they were also used in the other form in all cases where they would so apply.

9.8 Headings. The headings and sub-headings of this Trust Agreement have been inserted for convenience of reference and are to be ignored in any construction of the provisions hereof.

IN WITNESS WHEREOF, this Trust Agreement has been executed the day and year provided on the first page of the Agreement.

CITY OF CHEYENNE, EMPLOYER

Signature: _____

Printed Name: Patrick J. Collins

Title: Mayor

TRUSTEES

Signature: _____

Printed Name: Robin Lockman

Title: City Treasurer

Signature: _____

Printed Name: Stefanie Boster

Title: City Attorney

Signature: _____

Printed Name: Scott Roybal

Title: City Council President

ADDITIONAL OR SUCCESSOR TRUSTEES

Signature: _____

Printed Name: _____

Title: _____

Date

Signature: _____

Printed Name: _____

Title: _____

Date

Signature: _____

Printed Name: _____

Title: _____

Date

Signature: _____

Printed Name: _____

Title: _____

Date